

micro-enterprises. The micro-enterprises they are establishing are typically confined to low-margin industries like pickle or *papad* manufacturing,” says a private banker.

“The overconcentration of SHG or JLG members venturing into the same business segment is leading to intense competition and hindering their financial stability,” remarks another private banker, emphasising the need for diversification in their entrepreneurial ventures.

Another significant effort in financial inclusion was the launch in 2015 of the Mudra loan scheme to finance small business enterprises. It allows loans up to a maximum of ₹10 lakh for small-, non-corporate-, and non-farm enterprises.

Despite noble intentions, the scheme has resulted in

64 | **50 PER CENT**

THE SHARE OF THE SOUTHERN STATES IN SHG SAVINGS. HOWEVER, THESE STATES ACCOUNT FOR A WHOPPING 70 PER CENT SHARE IN SHG LOANS

substantial losses for banks. “The approach of imposing targets on commercial banks for disbursing these loans has proven to be flawed,” says a banker. For example, the State Bank of India, the country’s largest lender, has experienced gross NPAs (non-performing assets) consistently above 16 per cent for the past five years in this category. The asset quality track record is similar for other banks. Sources suggest that the government is working on revising the Mudra scheme. A significant drawback stems from public sector banks’ aggressive-

ness. Initially, the government had established targets, including geographical sub-targets, for banks.

YAWNING CREDIT GAP

To understand the persistence of gaps in financial inclusion, it is crucial to see the changed landscape of the banking sector in India. One feature is banks’ reluctance to offer small-ticket loans. That has opened up the space for MFIs. But these organisations have been unable to meet the significant demand for such services. A report by MicroFinance Institutions Network (MFIN) pegs the segment’s potential demand in 2023–24 at ₹13 lakh crore—that translates to a credit gap of 70 per cent compared with current figures.

MFIs, which drew inspiration from Bangladesh’s Grameen Bank model of JLGs to offer credit to a group of underprivileged women, followed the SHG initiative in the late 1990s. They offer non-collateral loans, in which each of the five to 10 group members is a guarantor for the other members. The total loan portfolio of the segment stood at ₹3.48 lakh crore (*see chart ‘Giving Credit’*). But this amount is paltry when compared with the total loan outstanding in the banking system of ₹120 lakh crore.

“There needs to be a concerted effort to step up operations in the bottom 300 districts. Today, micro-finance operations cover 633 districts, out of which 88 per cent are concentrated in the top 300 districts,” says Alok Misra, CEO and Director of MFIN.

Agrees Jiji Mammen, Executive Director & CEO at Sa-Dhan, an RBI-appointed self-regulatory organisation for the microfinance industry, who says more than 80 per cent of micro-credit is concentrated in 10 states.

To help matters, Nabard came out with a scheme in 2017 to boost JLG financing by commercial banks. “There can be a surgical approach to covering the 300-odd districts that are not covered because they are far flung. It should give some interest rate subsidies or a credit guarantee to a new customer for the first two cycles, etc.,” says Sanjay Agarwal, Senior Ratings Director at CARE Ratings.

According to Ganesh Narayanan, CEO of microfinance firm CreditAccess Grameen, everybody is catering to the same micro-loan segment, but cost structures are different. “NBFC-MFIs have a higher borrowing cost while banks and SFBs have higher operating costs. So, it kind of balances out. Some MFIs like us are even priced lower than banks. It is simply because better efficiency, higher customer retention and innovative products are resulting in lower opex,” he explains.

But it is a segment that is susceptible to big event risks. In the past, state governments in Andhra Pradesh